

4. Perform Normalization

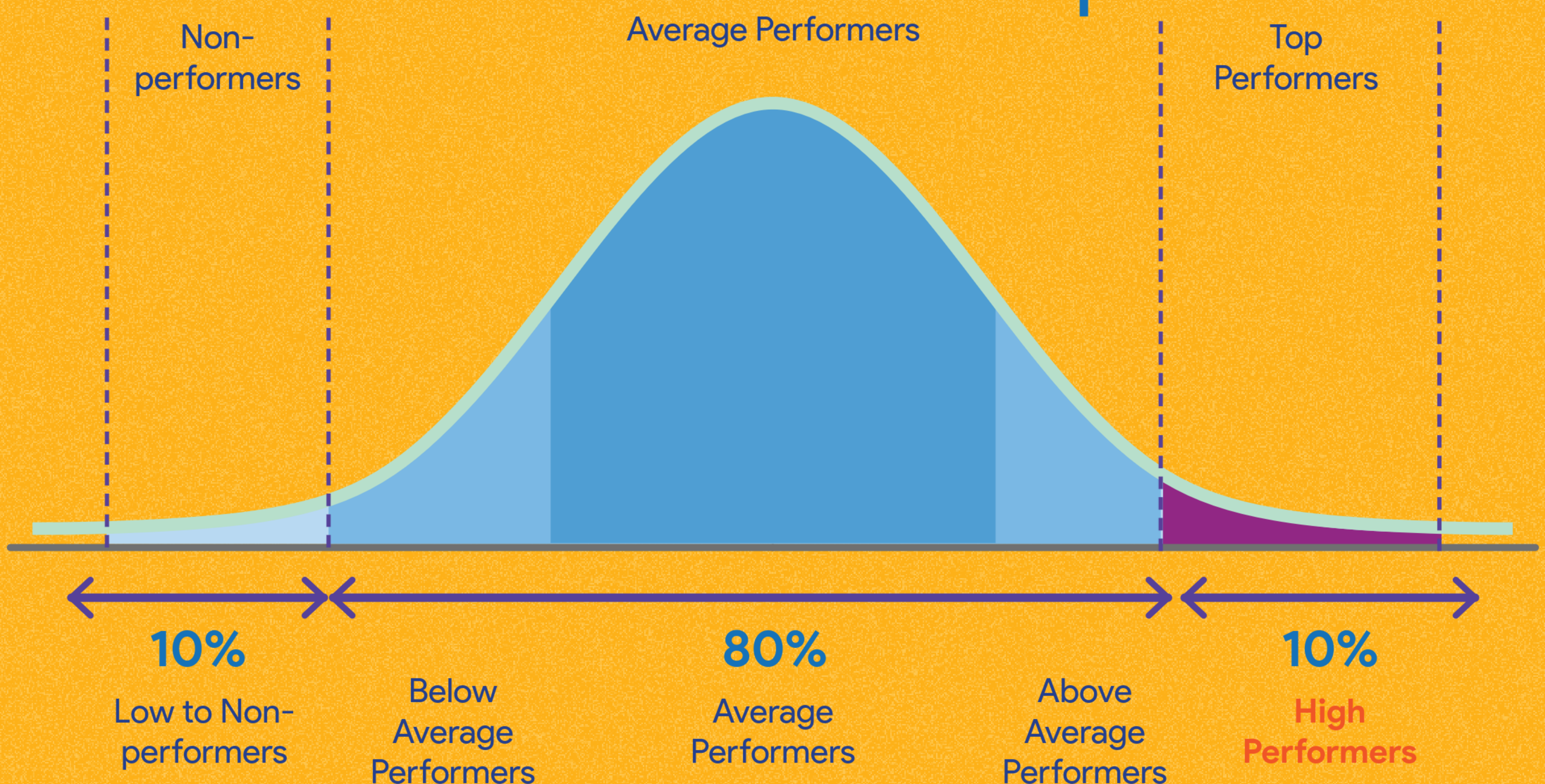
All the performance ratings are collated and reviewed for enhancing fairness and removing biases. The individuals doing similar kinds of jobs are put in one cohort (logical group) and an independent panel reviews the ratings. In some cases, the panel asks managers to justify their ratings. Normalization also ensures adherence to the budget. When an organization uses the fixed model then budget adherence is more of bell curve adherence.

Bell Curve



Scan for Insights

The bell curve is a normal distribution curve. It says that any data symmetrically distributes itself towards the center. This means if we put performance data of employees. Most of the employees will be performing at an average performance rate of the organization. There will be few high performing individuals and a similar number of low performing individuals in the organization.



The Bell curve was adopted by organizations. During the appraisal and normalization process, organizations started to force-fit employees into segments (performance ratings). The lowest-performing individuals were asked to leave the organization. The money saved from the exit of bottom performers was used to fund the increment for the high performers.

The bell curve did manage the budget well. However it defeated the very purpose of motivating employees using rewards. To cut the negativity, many organizations came out of force fitting exercises to achieve the bell curve.